At present the Government of India has 59.73 per cent shares in the SBI (*It was on July 9, 2007 that the entire equity stake of RBI was taken over by the Government of India. Thus, the RBI is no more the holding bank of the SBI and its Associates*.).

On October 10, 2007 the Government announced its proposal of selling the shares of the SBI and cutting down its stake in it to 53 per cent level so that the bank can go for capitalisation.

(ii) In 1994 the Government allowed the nationalised banks to have the access to the capital market with a ceiling of 33 per cent sale of shares through the *Banking Companies (Amendment) Act, 1994*.

Since then many nationalised banks have tapped the capital market for their capital enhancement—Indian Overseas Bank being the first in the row. Though such banks could be better called the public sector banks (as the GoI holds more than 50 per cent stake in them) they are still known as the nationalised banks.

(iii) In 1994 itself the Government allowed the opening of private banks in the country. The first private bank of the reform era was the UTI Bank. Since then a few dozens Indian and foreign private banks have been opened in the country.

Thus, since 1993–94 onwards, we see a reversal of the policies governing banks in the country. As a general principle, the public sector and the nationalised banks are to be converted into private sector entities. What would be the minimum government holding in them is still a matter of debate and yet to be decided.[17] The policy of bank consolidation is still being followed by the government, so that these banks could broaden their capital base and emerge as significant players in the global banking competition.[18] Every delay in it will hamper their interests, as per the experts.

3. Emergence of the RRBs

The Regional Rural Banks (RRBs) were first set up on October 2, 1975 (only 5 in numbers) with the aim to take banking services to the doorsteps of the rural masses specially in the remote areas with no access to banking services with twin duties to fulfill: